

Legacy Joint Ventures vs. Direct-Hold Solutions

As the graph below illustrates, utilizing the exact same initial capital, the Direct-Hold Solution initially develops fewer unlevered square feet. However, by the end of the Development Cycle, it mathematically generates over 40% more square feet than Legacy Joint Ventures.

While the debt-to-equity ratio scales to roughly 4.5 times, the debt-to-asset value strictly peaks at 63% during the Leverage Cycle. It then stabilizes securely at a ~50% loan-to-value ratio during the Management Phase, based on a 6.25% cap rate.

This performance is the direct result of Woodfine taking compensation in common equity. Because developer profit is never extracted as cash, it becomes retained equity on the balance sheet. This acts as a significant structural reserve until the Leverage Cycle concludes, engineering a definitive structural superiority and a superior financial outcome for Investors.

